

The Deal Is Not the Strait

Iran said two things on Saturday that only sound contradictory, and Monday's crude open depends on which one you heard.

THE READING

Nothing traded this weekend. WTI September settled Friday at \$78.18, up 1.15%, and Brent at \$83.55, up 1.29% — both revised overnight from Saturday's capture, which had them lower. The week was still a rout: WTI −7.66%, Brent −7.29%. Equities took the other side, the S&P closing at a record 7,757.64 with the VIX at 14.90. Then, early Saturday, a missile struck an ADNOC-affiliated tanker in the Strait of Hormuz — the fifteenth such vessel since late February, three of them this week. Iran's Supreme National Security Council set six conditions for reopening the strait. Its foreign minister said the Oman deal is “very close.” The IRGC said the reopening is “completely independent” of that deal.

WHAT WISDOM WOULD SAY

David Hume's argument in the *Enquiry Concerning Human Understanding* is that we never observe one event making another happen. We observe them together, repeatedly, and custom does the rest: having seen the conjunction often, the mind comes to expect the second on meeting the first. The expectation feels like perception. It is habit.

Here the habitual pair is agreement and access. Deals have preceded reopenings often enough that the two words arrive already joined. But Iran spent Saturday prising them apart in public, and published the terms the second actually rests on — no further US threats, a permanent end to the war, the blockade lifted and forces withdrawn, damages paid, sanctions lifted, frozen assets released. None of those is close. A signed text in Muscat satisfies none of them. Hume's warning is not that the inference is wrong. It is that its force comes from repetition rather than from anything visible in this particular case — and here the conjunction has been broken out loud, while the habit has not caught up.

THE RISK IT JUSTIFIES

If Monday brings “Iran–Oman deal signed” across the screens, that is not a reopening and is not worth trading as one. Friday's bid in crude came from attrition in the lane — a struck hull, a dead crew member — not from a draft text. So neither cutting energy exposure on a deal headline nor chasing the barrel on one. WTI sits mid-band in a \$72.63–82.60 risk range with a bearish trend; nothing there justifies size in either direction before Saturday's news has been priced at all.

The harder fact is that energy equities fell 1.13% on the day crude rose 1.15%, with XLE the worst of the eleven sectors. Owning the barrel and owning the producer have stopped being the same position. What would change the answer: a vessel transiting unescorted and unstruck, or one of the six conditions actually conceded.

Which of Saturday's two sentences would you have to be wrong about before you moved?